

COVER SHEET

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SEC Registration Number

[illegible]

(Company's Full Name)

[illegible]

(Business Address: No. Street City/Town/Province)

Atty. Jose A. Bernas

(Contact Person)

77195190

(Company Telephone
Number)

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Month Day
(Calendar Year)

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(Form Type)

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Month Day
(Annual Meeting)

Not Applicable

(Secondary License Type, If Applicable)

Dept. Requiring this Doc.

Not Applicable

Amended Articles Number/Section

Total No. of Stockholders

Total Amount of Borrowings

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Domestic

of Borrowings

Foreign

To be accomplished by SEC Personnel concerned

[illegible]

File Number

LCU

LCU

[illegible]

Document ID

Cashier

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**SECURITIES AND EXCHANGE COMMISSION
SEC FORM 17-Q**

**QUARTERLY REPORT PURSUANT TO SECTION 11 OF THE SECURITIES
REGULATION CODE AND SRC RULE 11(a)-1(b)(2) THEREUNDER**

1. For the quarterly period ended 30 September 2025
2. SEC Identification Number AS094-005066
3. BIR Tax Identification No. 003-973-161
4. Exact name of registrant as specified in its charter: SWIFT FOODS, INC.
5. Province, Country or other jurisdiction of incorporation or organization Manila,
Philippines
6. Industry Classification Code (For SEC Use Only)
7. 4F RFM Corporate Center, Sheridan cor. Pioneer Streets, Mandaluyong City 1603
Address of principal office Postal Code
8. Registrant's telephone number, including area code 632 5310 4442
9. Former name, former address, and former fiscal year, if changed since last report. Not
applicable
10. Securities registered pursuant to Sections 4 and 8 of the SRC

<u>Title of Each Class</u>	<u>Numbers of Shares of Common Stock Outstanding and Amount of Debt Outstanding</u>
Common Stock, P1 par value	1,818,436,953
Preferred Stock, P1 par value	48,633,664

11. Are any or all of these securities listed on the Philippines Stock Exchange?
Yes [x] No []

12. Check whether the registrant:

(a) has filed all reports required to be filed by Section 11 of the Securities Regulation Code (SRC) and SRC rule 11(a)-1 thereunder and Sections 26 and 141 of the Corporation Code of the Philippines during the preceding 12 months (or for such shorter period that the registrant was required to file such reports):

Yes [x] No []

(b) has been subject to such filing requirements for the past 90 days.

Yes [x] No []

PART I – FINANCIAL INFORMATION

Item I. Financial Statements

Please refer to pages 21 to 26 of the attached report.

Item II. Management's Discussion and Analysis of Financial Condition and Results of Operations

Results of Operations:

For the 3rd quarter of 2025, the company generated revenue of P7.868 M. This reflects a 13.81% decrease compared to last year's 3rd quarter revenue of P9.129 M.

The cost of goods sold as a percentage of sales for the 3rd quarter of 2025 is 88.71%, lower than the 93.06% for the 3rd quarter of 2024. The decrease is due to better results of broiler contract growers' performance which generated a lower cost of live broiler.

The 3rd quarter 2025 gross profit is 11.29% of its net sales compared to 6.94% of the 3rd quarter 2024. This is the result of lower cost of goods sold caused by the good performance of broiler contract growers.

The 3rd quarter 2025 other income amounts to P1.593 M. This was earned from the Tanay farm rental.

The operating expense for the 3rd quarter of 2025 is P3.28M compared to P3.33M of the 3rd quarter of 2024. There was a slight decrease of 1.63% caused primarily by the reduction in volume of frozen stocks in cold storage, which resulted in lower storage fees.

In summary, the results of operation for the 2025 3rd quarter represents the Tanay rental and performance of the Palawan branch.

Financial Position:

The Company's assets as of 30 September 2025 amounted to P593.20 million, a slight increase from 31 December 2024 assets of P591.17 million. The increase is caused by a rise in biological assets, inventories and receivables. Current ratio as of 30 September 2025 is 31.91:1 against 31 December 2024 of 31.02:1. Cash & Cash Equivalents decreased by 3.76% due to reduced cash sales transactions and more on credit sales. Accounts receivables increased by 20.81% due to a shift in credit sales transactions. Inventories increased by P0.450M caused by an increase in buffer stocks of feeds, medicine & vaccine inventories. Biological Assets (current portion) as of 30 September 2025 drastically increased by 100.00% compared to December 2024. The increase is caused by a very limited supply and excessively high price of limited available stocks of day-old chicks, which prompted the company not to chick-in during the entire month of December 2024.

Accounts Payable & Accrued Expenses increased by 10.12% due to higher volume of credit purchases of feeds.

Summary of Significant Accounting and Financial Reporting Policies:

Basis of Preparation

The financial statements were prepared using historical cost basis, except for biological assets, agricultural produce and investment properties, which are carried at fair value. The financial statements are presented in Philippine peso (Peso), which is the Company's functional and presentation currency.

All values are rounded off to the nearest thousand (P000), except for the number of shares and loss per share or when otherwise indicated.

The accompanying financial statements have been prepared under the going concern assumption. The Company believes that its businesses would remain relevant despite challenges posed by the rising inflation and geopolitical uncertainties.

Statement of Compliance

The financial statements have been prepared in compliance with Philippine Financial Reporting Standards (PFRS) Accounting Standards.

Changes in Accounting Policies

The accounting policies adopted are consistent with those of the previous financial year, except for the adoption of new standards effective in 2024. The Company has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective. Unless otherwise indicated, adoption of these new standards did not have an impact on the financial statements of the Company.

- Amendments to PAS 1, *Presentation of Financial Statements, Classification of Liabilities as Current or Noncurrent*, clarify:
 - That only covenants with which an entity must comply on or before reporting date will affect a liability's classification as current or non-current.
 - That classification is unaffected by the likelihood that an entity will exercise its deferral right.
 - That only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification.
- Amendments to PFRS 16, *Leases, Lease Liability in a Sale and Leaseback*, specify how a seller-lessee measures the lease liability arising in a sale and leaseback transaction in a way that it does not recognize any amount of the gain or loss that relates to the right of use retained.
- Amendments to PAS 7, *Statement of Cash Flows*, and PFRS 7, *Financial Instruments*,
- *Disclosures: Supplier Finance Arrangements*, specify disclosure requirements to enhance the current requirements, which are intended to assist users of financial statements in understanding the effects of supplier finance arrangements on an entity's liabilities, cash flows and exposure to liquidity risk.

Standards Issued but not yet Effective

Pronouncements issued but not yet effective are listed below. Unless otherwise indicated, the Company does not expect that the future adoption of the said pronouncements will have a significant impact on the financial statements. The Company intends to adopt the following pronouncements when they become effective.

Effective beginning on or after January 1, 2025

- Amendments to PAS 21, *The Effects of Changes in Foreign Exchange Rates, Lack of exchangeability*, specify how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking.

The amendments are effective for annual reporting periods beginning on or after January 1, 2025. Earlier adoption is permitted, and that fact must be disclosed. When applying the amendments, an entity cannot restate comparative information.

The expected adoption will not materially affect the Company.

Effective beginning on or after January 1, 2026

- Amendments to PFRS 9, *Financial Instruments* and PFRS 7, *Classification and Measurement of Financial Instruments*, clarify that a financial liability is derecognized on the 'settlement date', i.e., when the related obligation is discharged, cancelled, expires or the liability otherwise qualifies for derecognition. They also introduce an accounting policy option to derecognize financial liabilities that are settled through an electronic payment system before settlement date if certain conditions are met.

The amendments also clarify how to assess the contractual cash flow characteristics of financial assets that include environmental, social and governance (ESG)-linked features and other similar contingent features. Furthermore, the amendments clarify the treatment of non-recourse assets and contractually linked instruments.

The expected adoption will not materially affect the Group.

- Annual Improvements to PFRS Accounting Standards - Volume 11

The amendments are limited to changes that either clarify the wording in an Accounting Standard or correct relatively minor unintended consequences, oversight or conflicts between the requirements in the Accounting Standards. The following is the summary of the Standards involved and their related amendments.

- Amendments to PFRS 1, *First-time Adoption of International Financial Reporting Standards*, *Hedge Accounting by a First-time Adopter*, included in paragraphs B5 and B6 of PFRS 1 cross references to the qualifying criteria for hedge accounting in paragraph 6.4.1(a), (b) and (c) of PFRS 9. These are

intended to address potential confusion arising from an inconsistency between the wording in PFRS 1 and the requirements for hedge accounting in PFRS 9.

- Amendments to PFRS 7, *Gain or Loss on Derecognition*, updated the language of paragraph B38 of PFRS 7 on unobservable inputs and included a cross reference to paragraphs 72 and 73 of PFRS 13.
- Amendments to PFRS 9
 - a. Lessee Derecognition of Lease Liabilities - The amendments to paragraph 2.1 of PFRS 9 clarified that when a lessee has determined that a lease liability has been extinguished in accordance with PFRS 9, the lessee is required to apply paragraph 3.3.3 and recognize any resulting gain or loss in profit or loss.
 - b. Transaction Price - The amendments to paragraph 5.1.3 of PFRS 9 replaced the reference to 'transaction price as defined by PFRS 15, *Revenue from Contracts with Customers*' with 'the amount determined by applying PFRS 15'. The term 'transaction price' in relation to PFRS 15 was potentially confusing and so it has been removed. The term was also deleted from Appendix A of PFRS 9.
- Amendments to PFRS 10, *Consolidated Financial Statements, Determination of a 'De Facto Agent'*, clarified that the relationship described in B74 is just one example of various relationships that might exist between the investor and other parties acting as de facto agents of the investor.
- Amendments to PAS 7, *Cost Method*, replaced the term 'cost method' with 'at cost', following the prior deletion of the definition of 'cost method'.

The expected adoption will not materially affect the Company.

Effective beginning on or after January 1, 2027

- PFRS 18, *Presentation and Disclosure in Financial Statements*, replaces PAS 1 and responds to investors' demand for better information about companies' financial performance. The new requirements include:
 - Required totals, subtotals and new categories in the statement of profit or loss
 - Disclosure of management-defined performance measures
 - Guidance on aggregation and disaggregation

The expected adoption will not materially affect the Company.

- PFRS 19, *Subsidiaries without Public Accountability*, allows eligible entities to elect to apply PFRS 19's reduced disclosure requirements while still applying the recognition, measurement and presentation requirements in other PFRS accounting standards. The application of the standard is optional for eligible entities. The expected adoption will not materially affect the Company.

- PFRS 17, *Insurance Contracts*, is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. Once effective, PFRS 17 will replace PFRS 4, *Insurance Contracts*. This new standard on
- insurance contracts applies to all types of insurance contracts (i.e., life, non-life, direct insurance and re-insurance), regardless of the type of entities that issue them, as well as to certain guarantees and financial instruments with discretionary participation features. A few scope exceptions will apply.

The overall objective of PFRS 17 is to provide an accounting model for insurance contracts that is more useful and consistent for insurers. In contrast to the requirements in PFRS 4, which are largely based on grandfathering previous local accounting policies, PFRS 17 provides a comprehensive model for insurance contracts, covering all relevant accounting aspects. The core of PFRS 17 is the general model, supplemented by:

- A specific adaptation for contracts with direct participation features (the variable fee approach)
- A simplified approach (the premium allocation approach) mainly for short-duration contracts

On December 15, 2021, the Financial and Sustainability Reporting Standards Council (FSRSC) amended the mandatory effective date of PFRS 17 from January 1, 2023 to January 1, 2025. This is consistent with Circular Letter No. 2020-62 issued by the Insurance Commission which deferred the implementation of PFRS 17 by two (2) years after its effective date as decided by the International Accounting Standards Board (IASB).

PFRS 17 is effective for reporting periods beginning on or after January 1, 2027, with comparative figures required. Early application is permitted.

The adoption is not relevant to the Company.

Deferred effectivity

- Amendments to PFRS 10, *Consolidated Financial Statements*, and PAS 28, *Investments in Associates and Joint Ventures, Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

The amendments address the conflict between PFRS 10 and PAS 28 in dealing with the loss of control of a subsidiary that is sold or contributed to an associate or joint venture. The amendments clarify that a full gain or loss is recognized when a transfer to an associate or joint venture involves a business as defined in PFRS 3. Any gain or loss resulting from the sale or contribution of assets that does not constitute a business, however, is recognized only to the extent of unrelated investors' interests in the associate or joint venture.

On January 13, 2016, the FSRSC deferred the original effective date of January 1, 2016 of the said amendments until the IASB completes its broader review of the research project on equity accounting that may result in the simplification of accounting for such transactions and of other aspects of accounting for associates and joint ventures.

The expected adoption is not relevant to the Company.

The Company continues to assess the impact of the above new and amended accounting standards and Interpretations effective subsequent to 2024 on the Company's financial statements in the period of initial application. Additional disclosures required by these amendments will be included in the consolidated financial statements when these amendments are adopted.

Material Accounting Policy Information

The material accounting policies that have been used in the preparation of the Company's financial statements are summarized below. These accounting policies have been consistently applied to all the years presented, unless otherwise stated.

Fair Value Measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible to the Company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest. A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level of input that is significant to the fair value measurement as a whole:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities;
- Level 2 - Valuation techniques for which the lowest level of input that is significant to the fair value measurement is directly or indirectly observable;

- Level 3 - Valuation techniques for which the lowest level of input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognized in the financial statements on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level of input that is significant to the fair value measurement as a whole) at the end of each reporting period.

For the purpose of fair value disclosures, the Company has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

As of December 31, 2024 and 2023, the Company's biological assets, agricultural produce and investment properties are carried at fair value and with recurring fair value measurements.

Financial Instruments

A financial instrument is any contract that gives rise to financial asset of one entity and a financial liability or equity instrument of another entity.

Financial Assets

Initial recognition and subsequent measurement

Financial assets are classified, at initial recognition, as subsequently measured at amortized cost, fair value through other comprehensive income (FVOCI), and fair value through profit or loss (FVPL). The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Company's business model for managing them.

In order for a financial asset to be classified and measured at amortized cost or FVOCI, it needs to give rise to cash flows that are 'solely payments of principal and interest' (SPPI) on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level.

The Company's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both.

Subsequent measurement

For purposes of subsequent measurement, financial assets are classified in four categories:

- Financial assets at amortized cost (debt instruments)
- Financial assets at FVOCI with recycling of cumulative gains and losses (debt instruments)
- Financial assets designated at FVOCI with no recycling of cumulative gains and losses upon derecognition (equity instruments)
- Financial assets at FVPL

The Company has no financial instruments classified as financial assets at and designated at FVOCI and financial assets at FVPL.

Financial assets at amortized cost (debt instruments)

This category is the most relevant to the Company. The Company measures financial assets at amortized cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows; and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are SPPI on the principal amount outstanding.

Financial assets at amortized cost are subsequently measured using the effective interest method and are subject to impairment. Gains and losses are recognized in the Company's statement of income when the asset is derecognized, modified or impaired.

The Company's financial assets at amortized cost include cash and cash equivalents, receivables and refundable deposits.

Impairment

The Company applied the expected credit loss (ECL) model on the impairment of its financial assets. ECL is based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Company expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

For cash and cash equivalents, the Company applies the low credit risk simplification. The probability of default and loss given defaults are publicly available and are considered to be low credit risk investments. It is the Company's policy to measure ECLs on such instruments on a 12-month basis. However, when there has been a significant increase in credit risk since origination, the allowance will be based on the lifetime ECL. To estimate the ECL, the Company uses the ratings published by a reputable rating agency.

For receivables, the Company applies a simplified approach in calculating ECLs. Therefore, the Company does not track changes in credit risk, but instead recognizes a loss allowance based on lifetime ECLs at each reporting date. The Company has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to debtors and the economic environment.

For other financial assets such as refundable deposits, ECLs are recognized in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for expected credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over remaining life of the exposure, irrespective of the timing of default (a lifetime ECL).

Derecognition

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognized when:

- the right to receive cash flows from the asset has expired;
- the Company retains the right to receive cash flows from the asset, but has assumed an obligation to pay them in full without material delay to a third party under a “pass-through” arrangement; or
- the Company has transferred its right to receive cash flows from the asset and either (a) has transferred substantially all the risks and rewards of the asset, or (b) has neither transferred nor retained substantially all the risk and rewards of the asset but has transferred control of the asset.

Financial Liabilities

Classification and measurement of other financial liabilities

This category pertains to financial liabilities that are not held for trading or designated as FVPL upon inception of the liability and contain contractual obligations to deliver cash or another financial asset to the holder or to settle the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of own equity shares. The components of issued financial instruments that contain both liability and equity elements are accounted for separately, with the equity component being assigned the residual amount after deducting from the instrument as a whole the amount separately determined as the fair value of the liability component on the date of issue. These include liabilities arising from operations or borrowings. The financial liabilities are recognized initially at fair value and are subsequently carried at amortized cost, taking into account the impact of applying the effective interest method of amortization for any related premium, discount and any directly attributable transaction costs. Effects of restatement of foreign currency-denominated liabilities, if any, are recognized in statement of income.

The Company’s financial liabilities include accounts payable and other payables.

Derecognition

A financial liability is derecognized when the obligation under the liability is discharged, cancelled or has expired.

Inventories

Inventories are valued at the lower of cost and net realizable value (NRV). Costs incurred in bringing each product to its present location and condition are accounted for as follows:

Raw materials, packaging materials and supplies	- purchase cost using the first-in, first out method.
Finished goods	- the initial cost of finished goods is the fair value less costs to sell of agricultural produce at point of harvest (see related policy on Agricultural Produce).

NRV is the selling price in the ordinary course of business, less the estimated costs necessary to make the sale. For raw materials, packaging materials and supplies, NRV is the current replacement cost.

Biological Assets and Agricultural Produce

The Company's biological assets include growing livestock (broilers before reaching harvestable weight) and goods in process (day-old chicks), which are grouped mainly according to their transformation capacity (growing or laying) as well as their particular stage in the production process. These biological assets are categorized according to their inherent characteristics in the production cycle.

The day-old chicks will be grown as livestock, which will either be sold as live chicken or transferred to the dressing plant for processing as dressed chicken.

Growing livestock and goods in process are carried at fair value less cost to sell and the live broilers (agricultural produce) harvested from the Company's biological assets are carried at fair value less cost to sell.

The fair value of the biological assets and agricultural produce is determined based on the most recent market price at the point of harvest based on relevant market prices published by the Philippine Bureau of Agricultural Statistics (BAS). The Company, generally, does not maintain any inventory of agricultural produce at any given time as these are either sold as live chicken or are immediately transferred as live broilers to the Company's dressing plants for processing as dressed chicken.

Fair valuation of agricultural produce

Gain from fair value change of agricultural produce is recognized at the point of harvest. Fair value is based on the most recent relevant market price (see related policy above) at transaction date.

Investment Properties

Investment properties, which mainly pertain to land and buildings held for capital appreciation or for rentals, are measured at fair value. These are measured initially at cost, including transaction costs. Fair value changes of investment property are included in the statement of income in the period in which they arise.

The fair value of the investment properties is determined based on appraisal reports conducted by an independent appraiser (duly accredited by the Philippine SEC) on the basis of recent sales of similar properties in the same areas as the investment properties and taking into account the economic conditions prevailing at the time the valuations were made. The independent appraisers hold a recognized and relevant professional qualification and have a recent experience in the location and category of the investment properties being valued.

An investment property is derecognized when either it has been disposed of or when it is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gain or loss in the derecognition on an investment property is recognized in the statement of income in the year of derecognition.

Expenditures incurred after the investment properties have been put into operations, such as repairs and maintenance costs, are normally charged to income in the period in which the costs are incurred.

Transfers are made to investment properties when, and only when, there is a change in use, commencement of an operating lease to another party or ending of construction or development. Transfers are made from investment properties when, and only when, there is a change in use, evidenced by commencement of the Company's occupation or commencement of development with a view to sale.

For a transfer from investment property to owner-occupied property, the deemed cost of the property for subsequent accounting is its fair value at the date of change in use. If an owner-occupied property becomes an investment property, the Company accounts for such property in accordance with the policy stated under property, plant, and equipment up to the date of change in use. The difference between the fair value of the property, plant and equipment transferred to investment property and its carrying value is credited to the revaluation increment account. In 2015, the Company's land (classified as property, plant and equipment at revalued amount) was transferred to investment properties. Prior to the transfer in 2015, the Company's land was measured initially at fair value as of January 1, 2004 as permitted by PFRS 1, *First Time Adoption of Philippine Financial Reporting Standards*. This fair value was the "deemed cost" of the land. The fair value of the land has been determined based on the appraisal reports conducted by independent appraisers and taking into account the economic conditions prevailing at the time the valuations were made. The difference between the fair value of the land and the carrying value was credited to deficit.

Revenue

Revenue from contracts with customers is recognized when control of the goods are transferred to the customer at amount that reflects the consideration to which the Company expects to be entitled in exchange for those goods. The Company has generally concluded that it is principal in its revenue arrangements because it typically controls the goods before transferring them to the customer.

Sale of goods

Revenue from the sale of goods is recognized at the point in time when control of the asset is transferred to the customer, generally when the goods are delivered to and accepted by the customer. The normal credit term is 30 to 60 days upon delivery.

The Company considers whether there are other promises in the contract that are separate performance obligations to which a portion of the transaction price needs to be allocated. In determining the transaction price for the sale of goods, the Company considers the effects of variable consideration such as sales discounts, the existence of significant financing component, noncash considerations, and considerations payable to the customer, if any.

Costs and Expenses

Costs and expenses are recognized as incurred when decrease in future economic benefits related to a decrease in an asset or an increase of a liability, other than equity transactions with equity holders, has arisen that can be measured reliably.

Cost of goods sold

Cost of goods sold is recognized as expense when the related goods are sold.

General, administrative, selling and marketing expenses

General and administrative expenses constitute costs of administering the business. Selling and marketing expenses are costs incurred to sell or distribute the merchandise. These expenses are expensed when incurred.

Leases

The Company assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

The Company as a lessee

The Company applies the short-term lease recognition exemption to its short-term leases (i.e., those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). Lease payments on short-term leases are recognized as expense on a straight-line basis over the lease term.

The Company as a lessor

Leases in which the Company does not transfer substantially all the risks and rewards of ownership of an asset are classified as operating leases. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognized over the lease term on the same basis as rental income. Contingent rents are recognized as revenue in the period in which they are earned.

Rent income is recognized using the straight-line method over the term of the lease.

Retirement Benefits Cost

The Company accrues retirement benefits cost for all regular full-time employees based on the requirements of Republic Act (RA) No. 7641, Retirement Pay Law. Retirement benefits cost is actuarially determined using the projected unit credit method. This method considers each period of service as giving rise to an additional unit of benefit entitlement and measures each separately to build up the final obligation.

Retirement benefit costs comprise the following:

- Service cost;
- Net interest on the net retirement benefits obligation or asset; and
- Remeasurements on the net retirement benefits obligation or asset

Service costs which include current service costs, past service costs and gains or losses on non-routine settlements are recognized as expense in the statement of income. Past service costs are recognized when plan amendment or curtailment occurs. These amounts are calculated periodically by independent qualified actuaries.

Net interest on the net defined benefit liability or asset is the change during the period in the net defined benefit liability or asset that arises from the passage of time which is determined by applying the discount rate based on government bonds to the net

defined benefit liability or asset. Net interest on the net defined benefit liability or asset is recognized as expense or income in statement of income.

Re-measurements comprising actuarial gains and losses, return on plan assets and any change in the effect of the asset ceiling (excluding net interest on defined benefit liability) are recognized immediately in other comprehensive income in the period in which they occur and immediately credited to deficit. Re-measurements are not reclassified to the statement of income in subsequent periods.

The amount recognized as retirement benefits liability is the aggregate of the present value of the defined benefit obligation at the end of the reporting period reduced by the fair value of plan assets, if any, adjusted for any effect of limiting a net defined benefit asset to the asset ceiling. The asset ceiling is the present value of any economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

Actuarial valuations are made with sufficient regularity that the amounts recognized in the financial statements do not differ materially from the amounts that would be determined at reporting date.

Income Taxes

Current income tax

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at the reporting period.

Deferred income tax

Deferred income tax is provided, using balance sheet liability method, on all temporary differences at the balance sheet date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognized for all taxable temporary differences. Deferred income tax assets are recognized for all deductible temporary differences, carryforward benefits of unused tax credits from excess minimum corporate income tax (MCIT) over the regular corporate income tax (RCIT) and unused net operating loss carryover (NOLCO), to the extent that it is probable that sufficient future taxable profits will be available against which the deductible temporary differences, carryforward benefits of unused MCIT and NOLCO can be utilized.

The carrying amount of deferred income tax assets is reviewed at each balance sheet date and reduced to the extent that it is no longer probable that sufficient future taxable profits will be available to allow all or part of the deferred income tax assets to be utilized. Unrecognized deferred income tax assets are reassessed at each balance sheet date and are recognized to the extent that it has become probable that sufficient future taxable profits will allow the deferred income tax assets to be recovered.

Deferred income tax assets and deferred income tax liabilities are offset, if a legally enforceable right exists to offset current income tax assets against current income tax liabilities and the deferred income taxes relate to the same taxable entity and the same taxation authority.

Deferred income tax relating to items recognized directly in equity is recognized in equity and not in the statement of income.

Deferred income tax assets and deferred income tax liabilities are measured at the tax rates that are expected to apply to the period when the asset is realized or the liability is settled, based on tax rates and tax laws that have been enacted or substantively enacted at each balance sheet date.

Capital Stock

Capital stock is measured at par value for all shares issued. Common and preferred shares are classified as equity. The proceeds from the issuance of common shares and preferred shares are presented in equity as capital stock to the extent of the par value of issued shares. When the shares are sold at a premium, the difference between the proceeds and the par value is credited to the "Capital in excess of par value" account.

Retained Earnings (Deficit)

Retained earnings (deficit) represent the cumulative balance of total comprehensive income (losses) and effects of changes in accounting policy. Retained earnings (deficit) includes the remeasurement gain (loss) on retirement benefits liability and the revaluation increment on the land when the Company adopted the deemed cost.

Revaluation Increment on Properties Transferred to Investment Properties

Revaluation increment on properties transferred to investment properties represent the difference between the fair value and the net book value of the Company's properties transferred to investment properties.

Treasury Shares

The Company's own equity instruments reacquired are carried at cost and deducted from equity. No gain or loss is recognized in the statement of income on the purchase, sale, issuance or cancellation of the Company's own equity instruments.

Basic/Diluted Earnings Per Share

Basic earnings per share is calculated through dividing the net income by the weighted average number of common shares issued and outstanding during the year.

Diluted earnings per share is calculated through dividing the net income by the weighted average number of common shares outstanding during the year, excluding treasury shares and adjusted for the effects of all potentially dilutive common shares, if any. Where the basic earnings per share effect of the assumed conversion of preferred shares on net income would be anti-dilutive, no diluted earnings per share is presented.

Provisions and Contingencies

Provisions are recognized when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

Contingent liabilities are not recognized in the financial statements. They are disclosed in the notes to financial statements unless the possibility of an outflow of resources embodying economic benefits is remote. Contingent assets are not recognized in the

financial statements but disclosed in the notes to financial statements when an inflow of economic benefits is probable.

Segment Reporting

For management reporting purposes, the Company considers the poultry and leasing business as its reportable operating segments. Such business segments are the basis upon which the Company reports its operating segment information. The operating segments are reported in a manner that is more consistent with the internal reporting provided to the Chief Operating Decision Maker (CODM). The CODM, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the BOD that makes strategic decisions. The Company has no inter-segment sales and transactions.

Events After the Reporting Period

Post year-end events that provide additional information about the Company's financial position at the reporting period (adjusting events) are reflected in the financial statements. Post year-end events that are not adjusting events are disclosed in the notes to financial statements when material.

Discussion and Analysis of Material Events/s and Uncertainties:

Being in the livestock or commodity business, the uncertainties come from the erratic volatility of both prices of the produce and the costs of the raw materials. The prices and costs have become even more unpredictable in recent years with the aggressive growth of commercial players and the influx of imports of leg quarters into the domestic market.

There are no material commitments for capital expenditures that would have an impact on future operations of the company.

Key Performance Indicators:

	3rd Quarter 2025	3rd Quarter 2024
Sales Revenue (Decline)	-13.81%	30.57%
Operating Margin	-10.09%	-12.00%
Net Income (Loss)	-.794.08M	-1,095.18M
ROS	-10.09%	-12.00%
Current Ratio	31.91%	37.27%

$$\text{Sales Revenue Growth} = \left[\frac{\text{Sales this period}}{\text{Sales prior period}} \right] - 1$$

$$\text{Operating Margin} = \frac{\text{Income from operations}}{\text{Net Sales}}$$

$$\text{ROS} = \frac{\text{Net Income}}{\text{Net Sales}}$$

$$\text{Current Ratio} = \frac{\text{Current Assets}}{\text{Current Liabilities}}$$

Financial Risk Management Objectives and Policies:

The Company's principal financial instruments consist of cash and cash equivalents, receivables and accounts payable and other payables. The main purpose of these financial instruments is to ensure adequate funds for the Company's operations and capital expansion.

It is the Company's policy that no trading of financial instruments shall be undertaken.

The Company's management and the Board of Directors (BOD) review and approve policies for managing these risks. Management closely monitors the funds and financial transactions of the Company.

The Company recognizes the fact that their business operations are always exposed, in one way or the other, to some level of uncertainties or risks which, if not properly addressed and managed, could be detrimental to the profitability of the Company. Listed below are the financial risks the Company is exposed to:

Credit risk

Credit risk is the risk that the Company will incur a loss because its counterparties failed to discharge their contractual obligations. The Company manages credit risk by transacting only with a few recognized and creditworthy customers with whom it has already firmly established a good business relationship. It is the Company's policy that all customers who wish to contract on credit terms are subjected to credit verification procedures. In addition, receivable balances are monitored on an ongoing basis with the result that the Company's exposure to bad debt is not significant.

The Company controls credit risk through strict monitoring procedures and regular coordination with customers. All exceptions are noted and resolved with the concerned parties. Statements of accounts are issued out to customers and reconciled on a monthly basis.

Cash and cash equivalents are classified as *High grade* since these are deposited and invested with reputable banks and can be withdrawn anytime.

High grade receivables pertain to those receivables from clients or customers that consistently pay before the maturity date. *Standard grade* includes receivables that are collected on their due dates even without an effort from the Company to follow them up while receivables which are collected on their due dates provided that the Company made a persistent effort to collect them are included under *Sub-standard* receivables. Past due receivables and advances include those that are past due but are still collectible. The majority of these past due receivables are not considered to be impaired.

Collaterals held by the Company as securities for the payment of some outstanding receivables accounts are composed of real properties.

Repossessioned properties are made available for sale in an orderly fashion, with the proceeds used to reduce or repay the outstanding indebtedness.

Liquidity risk

Liquidity risk is the risk that the Company will be unable to meet its payment obligations when they fall under normal and stress circumstances. To limit risk, the Company manages its liquid funds through cash planning on a monthly and weekly basis. The Company uses historical figures and experiences and forecasts from its collections and disbursements, as well as projections based on the annual business plan. Likewise, the Company places excess funds in short-term cash investments. The Company also enters into restructuring agreements with creditor banks, as the need arises.

Interest rate risk

The Company's exposure to changes in interest rates relates primarily to the Company's bank loans, as well as interest on trust receipts and acceptances payable. Management manages its exposure to interest rate risk by closely monitoring the same with various banks and other financial institutions and maximizing borrowing period based on market volatility of interest rates.

Foreign currency risk

The Company is not exposed to significant foreign currency risk given that financial assets and financial liabilities and significant transactions involved in the Company's operations are denominated in the Company's functional currency, which is the Philippine peso.

Financial risk management related to agricultural activities

The Company is exposed to financial risk due to changes in the cost and supply of feed raw materials and also to the volatility of chicken selling price, and other products, which are determined by the supply and demand in the market. There are other factors, which contribute to this risk over which the Company has little control such as government regulations, climate and diseases that may affect the livestock. Such risks and mitigating factors are listed below.

Inherent risk to food manufacturing particularly in the fresh meat processing is spoilage and contamination. Generally, food manufacturing is being regulated by government agencies. The Company employs controls in its manufacturing processes to ensure that all finished products passed through rigid quality control. In addition, government representatives who are deployed to all the Company's dressing plants are always on the lookout to attest the quality of the finished product through issuance of corresponding certificates. The authorities, however, may impose additional regulatory requirements that may require significant capital investment at short notice. The Company ensures that this possibility is considered during the financial budgeting process.

Plan of Operation:

The management continues to wait for better business opportunities and carefully evaluate various business plans. There are no definite plans of raising additional funds from external source in the next 12 months.

The company is neither conducting any product research & development nor expecting to purchase plants and equipments within the next twelve (12) months.

Only the Palawan branch shall remain to be the only company operated facility to produce quality dressed chicken. Plans are underway to increase production within the next twelve months.

PART II – OTHER INFORMATION

There are no significant or material information that occurred during the 3rd quarter of the year 2025 that require to be disclosed in this report or in SEC Form 17-C.

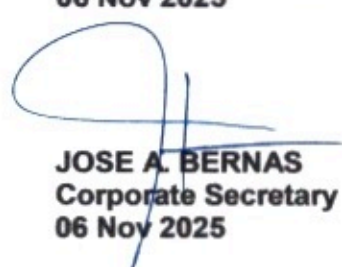
SIGNATURES

Pursuant to the requirements of the Securities Regulation Code (SRC), the registrant has duly caused this report to be signed on its behalf by the undersigned thereto duly authorized.

SWIFT FOODS, INC.
Issuer



ALEJANDRO B. LOPEZ
Accounting Manager
06 Nov 2025



JOSE A. BERNAS
Corporate Secretary
06 Nov 2025

SWIFT FOODS, INC.
BALANCE SHEET
SEPTEMBER 30, 2025 & DECEMBER 31, 2024
(AMOUNTS IN THOUSANDS)

	ASSETS	SEPT. 30, 2025 INTERIM	DEC. 31, 2024 AUDITED
Current Assets			
Cash & Cash Equivalents		8,472	8,804
Accounts Receivable		5,336	4,417
Biological Assets		1,266	-
Inventories		1,892	1,443
Other Current Assets (Prepaid Exp+Dep on Purch+Marginal)		356	629
Total Current Assets		17,323	15,292
Noncurrent Assets			
Investment Properties		575,678.25	575,678.25
Other Assets (Inv in Stocks/Def Chgs&HO/BR)		201.24	201.24
Total Noncurrent Assets		575,879	575,879
TOTAL ASSETS		593,202	591,171
LIABILITIES & STOCKHOLDER'S EQUITY			
Current Liabilities			
Accounts Payable & Accrued Expenses		54,290	49,303
Total Current Liabilities		54,290	49,303
Noncurrent Liabilities			
Retirement benefits obligations		8,379	8,191
Deferred income tax liabilities		143,719	143,719
Total Noncurrent Liabilities		152,098	151,910
Total Liabilities		206,388	201,213
Stockholder's Equity			
Capital Stock-Common		1,814,423	1,814,423
Capital Stock-Preferred		49,035	49,035
Capital in excess of par value		1,185,142	1,185,142
Treasury shares			
Total		3,048,600	3,048,600
Net Income		(3,144)	-
Retained Earnings, Appropriated			
Retained Earnings, Unappropriated		(2,679,434)	(2,679,434)
Revaluation increment		-	-
Cumulative actuarial gains(losses)			
Total Retained Earnings		(2,682,578)	(2,679,434)
Revaluation increment on investment property		20,792	20,792
Total Stockholder's Equity		386,814	389,958
TOTAL LIAB. & STOCKHOLDER'S EQUITY		593,202.32	591,171.37

SWIFT FOODS, INC.
STATEMENTS OF INCOME
(AMOUNTS IN THOUSANDS)

	Unaudited Jan-Sept. 2025	Unaudited Jan-Sept. 2024
NET SALES	24,109	28,416
COST OF GOODS SOLD	21,992	26,822
GROSS INCOME (LOSS)	2,118	1,594
OPERATING EXPENSES	(9,950)	(10,826)
OTHER INCOME (CHARGES)	4,688	5,598
INCOME (LOSS) BEFORE INCOME TAX	(3,144)	(3,634)
PROVISION FOR (BENEFIT FROM) INCOME TAX		
Current		
Deferred		
NET INCOME (LOSS)	(3,144)	(3,634)
Basic Earnings (Loss) Per Share	(0.0017)	(0.0020)
Common Stocks Outstanding	1,818,436,953	1,818,436,953

SWIFT FOODS, INC.
STATEMENTS OF INCOME
(AMOUNTS IN THOUSANDS)

	Unaudited	Unaudited
	July-Sept. 2025	July-Sept. 2024
NET SALES	7,868	9,129
COST OF GOODS SOLD	6,980	8,495
GROSS INCOME (LOSS)	889	634
OPERATING EXPENSES	(3,276)	-3,330
OTHER INCOME (CHARGES)	1,593	1,601
INCOME (LOSS) BEFORE INCOME TAX	(794)	(1,095)
PROVISION FOR (BENEFIT FROM) INCOME TAX		
Current		
Deferred		
NET INCOME (LOSS)	(794)	(1,095)
Basic Earnings (Loss) Per Share	(0.0004)	(0.0006)
Common Stocks Outstanding	1,818,436,953	1,818,436,953

SWIFT FOODS, INC.
STATEMENT OF CASH FLOWS
FOR THE PERIOD ENDED SEPTEMBER 2025 & 2024
(AMOUNTS IN THOUSANDS)

	Unaudited Sept. 2025	Unaudited Sept. 2024
CASH FLOWS FROM OPERATING ACTIVITIES		
Net Income (Loss)	(3,144)	(3,634)
Adjustments to Reconcile Net Income (Loss) to Net Cash		
Used in Operating Activities:		
Depreciation		
Provision for Doubtful Accounts	-	-
Changes in Assets & Liabilities:		
Decrease(Increase) in Assets:		
Accounts Receivable	(919)	(1,004)
Inventories	(450)	(70)
Biological Assets	(1,266)	767
Other Current Assets	273	300
Increase(Decrease) in Liabilities:		
Accounts Payable & Accrued Expenses	4,987	(5,048)
Net Cash Provided (Used)-Operating Activities	(520)	(8,690)
CASH FLOWS FROM INVESTING ACTIVITIES		
(Increase)/Decrease in:		
Property, Plant and equipment	-	-
Net Cash Provided (Used)-Investing Activities	-	-
CASH FLOWS FROM FINANCING ACTIVITIES		
Proceeds(Payment) of:		
Retirement benefits obligations	188	180
Deferred income tax liabilities	0	0
Capital in Excess of par value	-	-
Net Cash Provided (Used)-Financing Activities	188	180
Net Increase(Decrease) in Cash & Cash Equivalents	(331)	(8,511)
Cash & Cash Equivalents at Beg. of Period	8,804	16,704
Cash & Cash Equivalents at End of Period	8,472	8,193

SWIFT FOODS, INC.
STATEMENT OF CHANGES IN STOCKHOLDER'S EQUITY
SEPTEMBER 30, 2025 & 2024
(AMOUNTS IN THOUSANDS)

CAPITAL STOCK	SEPT. 2025	SEPT. 2024
PREFERRED STOCK		
Balance, beginning of the year	59,732	59,732
Redemption of shares	-	-
Balance, September 30, 2025 & 2024	59,732	59,732
COMMON STOCK		
Issued	1,818,437	1,818,437
Payment of subscription receivable	-	-
Balance, September 30, 2025 & 2024	1,818,437	1,818,437
CAPITAL IN EXCESS OF PAR VALUE		
PREFERRED STOCK		
Balance, beginning of the year	414,519	414,519
Redemption of shares	-	-
Balance, September 30, 2025 & 2024	414,519	414,519
COMMON STOCK	866,895	866,895
Total Capital in excess of par value	1,281,414	1,281,414
RETAINED EARNINGS (DEFICIT)		
Balance, beginning	-2,679,434	-3,052,681
Net Income (loss)	-3,144	-3,634
Revaluation increment	0	321,577
Cumulative actuarial gains(losses)		
Balance, September 30, 2025 & 2024	-2,682,578	-2,734,739

SWIFT FOODS, INC.,
AGING OF ACCOUNTS RECEIVABLE - TRADE
AS OF SEPTEMBER 30, 2025
(AMOUNTS IN THOUSANDS)

Current	580
1 - 30	697
31 - 60	284
61 - 90	540
Over 90 days	1,628
TOTAL	3,727

The accompanying financial statements have been prepared in compliance with accounting principles generally accepted in the Philippines as set forth in the PFRS.

The principal accounting policies and methods of computation used in the annual financial statements were also followed in the preparation of the interim financial statements.

There are no issuances, repurchases, and repayments of debt and equity securities in the current interim period.

There are no dividends paid for both Common and Preferred shares in the current interim period.

The Company has no contingent assets or liabilities.

There are no material contingencies that are material to an understanding of the current interim period.

There are no material off-balance sheet transactions, arrangements, obligations and other relationships of the company with unconsolidated entities or other persons created during the reporting period.

There are no material commitments for Capital Expenditures.

Segment Information - This is no longer applicable